Top 10
Tough Topics
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The TEN topics that students find most difficult on the LOMA 301 exam are

10. Assessing Insurance Needs

9. The Numerical Rating System

8. Charging for Substandard Risks

7. Underwriting Specialized Policies

6. Underwriting Policy Replacements

5, Underwriting Supplemental Benefits

4, Assumption vs. Indemnity Reinsurance

3. Group Life Conversion

2. Suicide Exclusion

1. Disqualification of the Beneficiary

NOTE: An exam may not Incude all hese topics.

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Disqualification of the Beneficiary

Module4, Chapter12, p. 12.15,

Tough Topic 1: Why It’s Tough

Study Tip

situation. The Qe pending ‘When a beneficiary kills the insured and is disqualified from receiving the luaton. The posi tcome z policy proceeds, the proceeds are stil payable to someone, unless the policy Is decared vola

Test Yourself

twas determined that Emily killed Alan in self-defense. In tis situation, the insurer is obligated to pay

- nothing, because the policy s vod
- 2 relum of premiums pai, plus interest, because the policy Is void
- the ful policy proceeds to Emily
- the full policy proceeds to Mathew
- the fll policy proceeds to Alan's estate

twas determined ina criminal court th Emly kiled Alan without legal jutiicalon. However, the insurer concluded that Emily dt not purchase the policy with the

nothing, because
the policy was void
a retum of premiums pai, plus interest, because
the policy was
vols
°
° the full policy proceeds to Emily
the full policy proceeds
to Mathew
°

the tl policy proceeds to Alan's estate
°

tas determined ina criminal court that Emily kiled Alan without legal justification. The insurer found evidence that Emily purchased the policy with the intent of
kiling Alan in this situation, the insurers obigated to pay

nothing, because the policy is void
°

a relum of premiums paid, plus interest, because the policy Is
vols
o

the full policy proceeds to Emily
°

the ful policy proceeds
to Mathew
°

the tl policy proceeds to Alan's estate
°

Emily wae found "not guily” of murder ina eiminal court, but evil court found that Emily intentionally and wrongful Kled Alan. The insurer didnot find avisence
that she purchased the policy with the intent of causing Alan's death. In this station, the insurer is obligated to pay

nothing, because the policy s vod
°

a retum of premiums pai, plus interest, because the policy Is
vols
°

the full policy proceeds to Emily
°
the full policy proceeds
to Matthew
°
the ful policy proceeds to Alan's estate

Eric Sawyer purchased ale insurance policy onthe life of his wife, Anne, Eric named himselfas the primary beneficiary, and ther son, Timothy, as the contingent beneficiary. Three years later, while the policy wae sti in force, Anne was Killed, and Eric was later convicted curing @ criminal cour proceeding of intertonally and ‘wrongfully kling er. The insurer was able to prove that Enc purchased the policy wih the intentof kling Anne. Wih regara tothe claim outcome ofthis station, 1 most likely is correctto say that he insurer wil

pay the entire policy proceeds to Anne's estate

© pay the entire policy proceeds to Timothy

declare the policy void and return the premiums paid, plus interest

‘declare the policy void and pay nothing 1 anyone

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Exclusion Provisions

Module4, Chapter
12, pp. 129-12.10

Tough Topic 2: Why It’s Tc

suicide excl this topic oftena SaeALD
pecially

‘Consider the
flowing questions relating to exclusion provisions:

+ Is the
insurer contestinga policy when it denies paymentof
benefits?
+ Wo has the
burden of proving that an insured committed suicide?
+ What are the
insurer's payment obligations when an insured
commits
sulcide?
“+ How soes
policy reinstatement affect the suicide exclusion period?

‘Seven years after purchasing an Insurance policy on her fe, and while her palcy was stn force, Wanda Davis iad! as a result of suicide. Her palcy ‘containeda typical suicide exclusion provision. Can the insurance company invoke the suicide exclusion provision inthis situation?

No

‘Submit

“The next wo questions apply to the flowing:
Mark Roberts died 13 months after purchasing a fe insurance policy on his life and after having pad the annual renewal premium. It was determined that his death
was the resultof suicide, Wnat isthe insurance company obligated to pay n this situation?

Nothing, because the suicide voids the policy
© Aretum of premiums paid only
‘The full death benett

Submit

tthe beneficiary of Mark's policy fles a lawsult agains he insurance company for payment othe full policy Benefits, which party bears the burden of proving that
the Insured commited suede?

‘The insurance company must prove thatthe insured committed suicide
°

‘The beneficiary must prove thatthe insured dé not commit suleae

‘Abby Childs was insured by aif insurance poy iesued inthe United States. Fourteen months after policy issue, the policy lapsed. The policy was reinstated one
‘month later. Eighteen months after the reinstatement, Abby committed suicide, The policy contains a typical two-year suicide exclusion provision, What isthe
Insurance company obligated to pay in this situation?

Nothing
°

© Aretum of premiums paid only
The full death benert

TS
SF FTN

“The following statements are about the operation othe suicide exclusion provision in life insurance policy. Select the answer choice conning the correct
statement.

© When an insurance company denies a claim due to suicide, t's contesting the vaisty ofthe policy.
© Aptemium receipt typcaly states that coverage under the receipt is subject othe suicide excision provision contained ln the appied-or policy.
Ita insurance policy is reinstated after the end ofthe orginal suicide exclusion perio, the reinstated policy contains a suicide exclusion period that
> stats
© on the date ofthe reinstatement.

Returning the policy premiums after the insured's death by suicide during the sulcie exclusion period is considered tobe a premium refund.
°

fsck
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Group Life Conversion Provision

i Module2, Chapter
10, pp. 10.18-1021

Tough Topic 3: Why It’s Tough

rac o an individual MeInsurance policy without providing
3insurabilty,However, there are lita

Test Yourself

‘The following questions are about conversion in @ group ife Insurance contract, Decide whether each statement is true or false,
“The conversion provision in group ite insurance polices often exces the
‘option of converting whole fe coverage to term le coverage.

‘A covered dependent who becomes ineligible fr coverage under a group insurance plan generally has the right to convert coverage according te the group potcy’s
‘conversion prowsion

True
Fase

To convert group coverage to an individual paley, a group insured must complete an application for an individual policy and pay the premium to the Insure within 60
days ater becoming ineligible for group coverage.

False

|When a group insuree les, any ofthe insureds surviving dependents who were covered under the group plan at the time ofthe insureds death must have the ght.
{to purchase any type of incivdual fe insurance pofcy the insurer offers withthe possible exception of term ie insurance—at

the insurer's customary premium rate
‘based on the dependent’ age.

BY

Michae! Han terminated his employment with the Oak Company and immesately began working for the Amber Company. Under Oak's group life insurance policy,
‘which included a typical conversion provision, Mr. Han had $86,000 of group fe insurance coverage. Amber's group Ife insurance policy provides Mr. Han with
'$50,000 of if insurance coverage, and this coverage became effective on his frst day of employment. Under the conversion provision in Oak's policy, Mr. Han can
‘obtain

- no individual coverage, bacause he immadiataly obtained coverage under Amber's plan
- $10,000 of individual coverage. whhout providing evidenceof insurabilty
- $10,000 of inavidual coverage, but he must provide evidence of insurabilty
- ‘585,000 of individual coverage, without providing evidenceof insurabilty

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Assumption Reinsurance and Indemnity Reinsurance

Mocule9, Chapter8, pp. 8.48.6

Tough Topic 4: Why It’s

Students have trouble Kentiying the characterises of assumption reinsurance and indemnity reinsurance.

Study Tip
Focus on the following:
‘+ Assumption lente blocks of assumes the entre
+ Indemnity risk toa reinsuer, ‘ect wie retains
‘Also, review Figure 8.2 fora side-by-side comparison ofthe two types of

Remnsurance: A clirect writer permanently transfers existing Bush toa reinsuter The reinsurer legal obligation for the transferred business.

reinsurance: Adirect writer transfers a stated portionof, and the einsurer agrees to cover tat risk. The al egal iaity tots poleyowners.

Decide whether each statement applies to “assumption reineurance” or tractonal"indemnty reinsuranca”

| generally used to complete the purchase and sale ofan entire insurance ‘company.
2 ‘assumption reinsurance
° Indemnity reinsurance

‘Submit

‘The reinsurer is obligated to reimburse the direct writer for claims only after the irect writer pays benefits fr reinsured polices.
9 ‘assumption reinsurance
3 indemnity reinsurance

‘Submit

‘Allows fo termination ofthe arrangement through mutual agreement or ‘automaticaly terminates if one party fais to meet its nancial obligations.
° ‘assumption reinsurance
° Indemnity reinsurance

“The reinsurer issues new insurance certificates to all afected

Polcyowners. v assumption
reinsurance

indemnity

reinsurance

‘Typically creates an ongoing contractual relationship between the parties to the ‘assumption
reinsurance
‘arrangement.

indemnity

reinsurance

“The drect writer can take back—or recapture—spectied reinsurance risk,
‘and the reinsurer ean return or commute-specified einsuted rks ‘assumption
reinsurance

6 Indemnity

relnsurance

“Typically transfers risk on a dhrect writer's new business rather than is foros ‘assumption
reinsurance
business,

Indemnity

reinsurance

“The reinsuer takes on the responsibilty for al isk under the policies
previously issued by the drect writer assumption
reinsurance

Indemnity

reinsurance

“The reinsurance arrangement s not disclosed othe direct writer's
customers assumption
reinsurance

indemnity

reinsurance

“The direct wer retain the entire lagal ability to ts customers whose
Policies ae reinsured o assumption
reinsurance

indemnity

reinsurance

“The direct writer, the reinsurer, and the polieyowner areal partes to ‘assumption
reinsurance
the reinsurance transaction.

Indemnity

refnsurance

Reinsurance is divided into two broad classifications: assumption reinsurance and rational Indemnity reinsurance. Under trational Indemnity reinsurance, the

rect writer permanently transfers all ofthe risk tothe rinsurer and does not have the option to recapture rinsured coverage
°

6 direct writer typically does not disclose the reinsurance arangement tothe owners of the rensured policies
reinsurer takes on the entire legal ably forthe reinsured policies
reinsurer becomes a party to the orginal insurance policy between the direct writer and the plicyowner
°

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Underwriting Supplemental Benefits

i Mocule2, Chapter6, pp. 6.20-6.26

underwriting

Study Tip
Review Figure 66 in the textbook for a summary of the benefis provided ‘and underwriting considerations for each type of supplemental beneft

Test Yourself

In the question carousels below, use the arrows or dots to navigate between questions,
Disability Benefits

For disabilty income benefits, the underwriter evaluates a proposed insurec's medical condition, but does not consider personal or financial het factors,

False

>

.

Family Benefits

‘Atamily benefit is supplemental term lfe insurance that can be added to.an individual cash value le insurance policy

=
ame
False

>

Guaranteed insurabilty

GI] Benefit and Accidental Death Benefit Rider

‘The following underwriting limitations apply to most guaranteed
Inourabilty (GI) riers (select al that apply: 6.
Apolcyowner may usualy acd a GI rider only upto 60
days
after issue.
‘The
polcyouner generally may exercise the GI option
© unt
te insured teaches age 60.
< Usual y,
me maximum age forssuing Gi raeris 600r
6.
‘5
eurers typically do nt add a Gi der toa basic poley
that
was issued on a substandard basis

.

‘Accelerated
Death Benefits

‘Separate underarting s not necessary fora terminal liness (TI)
jaan Oo Tw.

‘The flowing statements
are about supplemental Banfi tha can be added toa basic if insurance policy, Select
the answer choice containing the correct
statement

© Atami benefit ypicaly covers foster children but not ehldren ftom a previous relationship.
The waiverof premium (WP) for disability benef usually covers disables that begin after the insured
reaches a specified age, such as age 68.
Ia poleyouner fas o exercise the option under a quarantoed insurabilty (GI) benefit atthe ime
speciid, then that partcular opportunity to
purchase coverage is est.
15 Alteran insurer pays an accelerated death benef the amount due tothe beneficiary a the death
ofthe insured is incteased by the amount that nas
already been paid out under the poly.

Underwriting Policy Replacements

Mocule2, Chapter6, pp. 6.18-6.20

Tough Topic 6: Why It’s Tough

“There two aspects of mtn potcy replacements that are dieu for students:
1. Disclosure requirements set by he Replacement of Life Insurance and ‘Annuities Mode! Regulation and th
financial professionals have disclosure obigations
2, Determining the replaced policy's cost basis and taxable gain ie meee

Study Tip

Insurers and Races

Figure 65 fora summary of these requirements

For each statement below determine if itis “True” or “False,” then click Submit.
“The Replacement of Life insurance and Annulis Model Regulation prohibits most types ofreplacements

True
False

Financial professionals must submita replacement statement to the insurer for every policy they sell

True
Fase

‘Submit

Most states prohibit the insurer ofthe reptacad poy fom ng he to at empt to conserve the potcyouner’s oo

False

°
Ifthe cost bass ofa surrendered policy exceeds its cash value, the portion
of the cost bass that exceeds the cash surrender value is considered

a gain andis.
taxable as ordinary income.

True
°

False
°

Ina Section 1035 exchange, the polcyouner avoids Incuring a taxable gan onthe transaction because the entire cash surrender value ofthe onginal policy
Used to pay premiums on the new policy.

‘Tanya Krevek, 2 resident ofthe United States, owned 2 $200,000 whole Ife insurance policy issued bythe Bro Insurance Company. Ms. Krecek surrendered her
policy and replaced it wth another Me insurance policy fsued by Bo. Bo Used the cash surrender value ofthe orginal policy ta pay the premium forthe new
policy under the terms of a Section 1035 exchange. At the time ofthe Section 1035 exchange, the policy's cash value was $10,000, and Ms. Krecek had paid
‘88,500 in premiums. There were no withdrawals, dividends, or loans onthe policy. Select the answer choice hat corecly identifies the cost basis forthe policy and
‘the amount of gan that's considered to be taxable atthe time of the Section 1038 exchange.

	Costbasis	Taxable income
©	s8.500	0
$8,500		$1,500
©	s10.000	0
	10,000	81,500

°

™T

Underwriting Specialized Policies

Moaule2, Chapter6, po. 62-64

Tough Topic 7: Why It’s

jrements for mult-lMe polcies and juvenile policies can
i toremember. In bot underwters may have to
Took at more than one person to evaluate ingurabilty andthe amount
coverage.

Study Tip
[Anewer the following questions as you review the materia:
+ What happens if one proposed insured for]@ mule policy isa ratable risk?
+ Are underwriting standards the same for all proposed insureds?
+ How does coverage on other family members affect underwrting for juvenile policies?

Joint Ife insurance policies pay policy proceeds ony after all people insured by
the policy have died

True
Fase

‘Submit

Ione ofthe proposed insureds fora mul-ife policy isa ratable risk, the

‘unaerwrter typically aecines tne poly.

True

∘

False

∘

\Wich type of mullite poy is most appropiate i the primary purpose ofthe insurance isto replace the income of @ deceased insured and help the ‘surviving insured pay ongoing Iving expenses?

ont
Last survivor fe insurance

‘Compared to the underwriting fr individual He insurance policies, the ‘underwriting standardsfor ast survivor Ife insurance usually are more

© enient
att

Selectallofthe underwriting considerations that apply to underwriting juvenile Iie insurance, then click SUBMIT,

Insurers typcalyrequie a physical examination for jwenle
o

© Insurers treat adopted chikiren the same as biological children.
Only parents can obtain juvenile ite msurance ona chil,
5 Anunderwriter considers the insurance in force onthe parentsor guardian,
‘An underwriter considers the amount of coverage in force on father chilean in the family.

“The following statement(s) can correctly be made about the underwriting of muli-ife insurance and juvenile insurance:

+ A. When a parent apples fo juvenile insurance and requests a waiver of premium for payor benefit the insurer typically asks for evidence of insurabilty for both the parent and the chil

+ B. Fora joint ife insurance policy the underwriter wil make a separate evaluation ofthe rsk presented by each proposed insured

Both Aand B

Aoniy

Bonly

Neither Anor 8

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In the question carousels below, use the arrows or dots to navigate between questions.
Disability Benefits

Underwriters consider proposed insured's avocations and occupation when underwriting disability income benefits and waiver of premium (WP) for disability benefits.

< © False

Disability Benefits

Underwnters rarely consider age when underwriting supplemental disability benefits. O | Tue

< 0 False

Family Benefits

For family benefit coverage, the underuiter requires insurability information for all family members. ° ied

< OC) False

Disability Benefits

For the waiver of premium for payor benefit, the underwriter reviews evidence of insurability only trom the person whose life is insured under the policy. So Tue

«< i=) False

Family Benefits

‘The underwriter will not issue family benefit coverage if any family ‘members have medical impairments. ee

< is) False

The following underwriting limitations apply to most guaranteed
insurability (GI) riders (select all that apply):
usually add a GI rider only up to 60

generally may exercise the Gl option

reaches age 60.
<
issuing a Glider is 60 or >

add a Gi rider to a basic policy

substandard basis.

Accelerated
Death Benefits

Separate underwriting 's not necessary fora terminal iness (T1)
benettt

>

9 Apolicyowner may

days after issue,

o ‘The polieyowner

nti the insured

Usually the maximum age fr

65.

5 Insurers typically do not

that was issued on a

°

© Ti
| False

Underwriters would most likely deny a request to add an accidental death benefit (ADB) rider in which of the following cases (choose all that apply)

a ‘The proposed insured is age 65

oO The proposed insured’s risk is higher than standard at 125% mortality

o ‘The proposed insured is rated for alcohol or substance abuse

Accelerated Death Benefits

Most underwriters do not consider the proposed insured's age or health status when underwriting critical iliness coverage.

< ie) True

False

Insurers do not issue long-term care (LTC) benefit riders to applicants who already suffer from cognitive or physical impairments. Oo The

< OC False

Underwriting a chronic iliness beneft involves determining the
Proposed insured’s ability to perform the six activities of daily living (ADL).
oO Te
< © False

ce 1d Death Ben:

The chronic illness benefit is less expensive for the insurer to
administer than the long-term eare (LTC) insurance beneft, © Ta

< O | False

Charging for Substandard Risks

Module2, Chapter5, pp. 521-624

Tough Topic 8: Why It’s Tough

Students have trouble determining which rating method ls most appropriate for a specie situation, Saya ‘The approach to charging fora particular substandard risk dependson whether the mortality risk ofa given medical or personal factoris ‘assumed to

+ Increase with age

+ Remain constant

+ Decrease with age

id you know?

“The Vector Insurance Company is underwriting a proposed insured who isa professional race car driver, a profession that Vector considers hazardous. Vector
‘estimates that his risk wll remain constant throughout the Ife ofthe policy, Which ating method is most appropriate inthis case?

© Permanent at extra premium
© Temporary fat extra premium
Table ating

‘submit

Use the information below to answer the next two questions.
‘An underwriter at the Unity Life Insurance Company used the following information to adjust the Ife insurance premium rate to compensate for extra moray
‘resented by Judith Thomas, a proposed insured. The underwriter assigned Ms. Thomas a Table 3 rating

“The table is an exampleof

© atactor able
© anextra percentage table

Ms. Thomas
has @ mortality rating of 1.75 times the standard mortality.

True
°

© False

‘An underwriter determined tha a temporary flat extra premium would adequately compensate the insurer for the increased risk presented by a proposed insured
“This information Indicates that the underwriter expacts the extra mortality risk for this proposed insured to

Inerease with age
decrease and eventually disappear over a liited time pariod
°

emain constant throughout
the Ife ofthe policy
°

© Inerease during a certain ime period and then decrease after that time period

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The Numerical Rating System

Module2, Chapter8, pp. .18-6.18

Tough Topic 9: Why It’s Tc

Ifyou are familar with how debits and cx rate in banking, you may be confused by the numer function <iterenty

Study Tip

Have trouble remembering about debits and crits?

Here isa hint

‘Select each term below to learn more information regarding debits and credits,

DEBITS CREDITS

Financial sk factors are not used in the numerical rating system

True
Fase

‘Submit

Insurers typically usea score of 0 to represent the average, or standard, mortality risk

False

°

“Total scores signifeantly higher than 100 indicate that a proposed insured is suitable to be placed inthe prefered risk class

°

z

Fase

°

‘An insurer most kely would assign a lower premium rate to @ proposed insured who has a numerical rating of 90 than it would to an otherwise comparable
Individual who has a numerical rating of 180.

In the numerical rating system, the higher the total numercal rating, the (higher/ lower) the risk to the insurer, Factors that have an unfavorable effect on mortally
‘ave assigned (debits / credits), which ave assigned (positive/ negative) values.

higher debts / postive
righer /creits postive

°

© tower / debits / negative
ewer / eects negative

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Tough Topic 10: Why It’s Tough

4. Determiningthe amount of insurance infor
2 and income for insurance ps
underwriters do not count certain types of group

calculate the amountaf insurance already in foros

Study Tip

Remember thal

‘coverage when they

(na proposed insured

Inthe question below, decide what the correct answer choice is
{or each question. Use the arrows or dots to navigate between questions.

John Stroud has applied to the Libretto Life Insurance Company fora $350,000 universal fe insurance policy that wil replace a $180,000 whole life insurance potcy on his life, also Issued by Libretto, When the underwitr determines the amount a n-orce coverage on Mr. Stroud, he typcaly would count the folowing existing coverage on Mr. Stroud's fe (choose allthat apply):

'8150,000 individual whote ite
policy that wil be replaced by the
‘new policy from Libretto
$250,000 individual term ite
‘nourance poly owned by Mr
‘Svoud and tsued by the Cameo
Insurance Company >
$150,000 of group term ite
Oinsurance offered by Mr. Stroug's
‘employer
{$500,000 key-person ite
‘naurance for which Mi. Sous
‘employer i the polieyowner anc

Exam Question

Deirdre Park has applied for @ $200,000 individual fe insurance policy. order to judge the appropriateness of the amount of insurance applied fr, the underwriter will consider the amount of insurance already in force covering Ms, Park. The undersmierhas the folowing information|

+ Ms. Park patcipates in a pension plan that provides a $75,000 death benefitto Ms. Park
+ Ms, Par has $120,000 of term Iie insurance coverage under her employers groupie insurance plan
+ Ms. Park owns a $50,000 indlvidual whole Ife insurance policy

“The underwriter mos ikely wil consider Ms, Park's current in force coverage to be

© 50.000
© 8125,000
170.000
© 195,000

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When determining the need for life insurance coverage, many insurers consider only the proposed insured's earned income and exclude unearned income.

oO True

oO False

The face amount of any life insurance in force is included in the calculation of an individual's net worth.

° True

{e) False